should be corporatized and hived off from the Railways. These can be either privatized or best technology partners inducted with majority equity stake and technology transfer for manufacturing—and exporting—rolling stock on competitive terms. The Research Design and Standards Organization (RDSO) can be hived off into an independent organization with no mandatory testing work from the Railways. RDSO can also work for other railways of the world. Catering should be completely privatized with popular brands being allowed to set up their kitchens in appropriate places (including outside railways premises wherever appropriate) and supply to consumers on demand. Prices should be also deregulated with competition ensuring that there will be no artificial hike. Ticketing, like airline ticketing, should be allowed to be done by agents, initially for AC service. IRCTC should be disinvested. Hospitals need to be hived off in a separate entity.

In short, the government should open up all segments of railway operations for private investment; appoint an independent regulator to determine fares and quality of service; separate railway tracks into one national trunk public utility and a few regional utilities; gradually privatize all passenger and goods operations; and create a competitive railway business in the country.

State Roadways and Bus-Stands are Past Their Due Dates

Two major reforms needed in the roadways sector are denationalization of routes and selling state roadways undertakings. The practice of state governments notifying various routes and reserving them for STUs for stage carriage traffic has been hampering the legal establishment of passenger road transport businesses. Over the past three decades, many road operators have built competing businesses by misusing contract carriage provisions. The policy and practice of nationalizing routes needs to be